

PHR pitch deck

PITCH — PHR — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: Do not buy at \$12.28. Stay flat into the September 2, 2026 earnings report and re-run the court on that print; the only pre-print reopen is a fall below the activist's own last purchase zone (~\$8.55). Both benches concur (prosecution conviction 7/10, defense 8/10 that the no-entry case holds).

What we believe

Phreesia sells check-in software to medical practices. It has three revenue lines: subscription software fees from clinics, payment processing on patient bills, and “Network Solutions” — health messaging (mostly drug-company advertising) shown to patients during check-in.

We believe the stock, at \$12.28, is not the bargain it appears to be, for three reasons the court confirmed from the company's own filings:

- 1. The core subscription business shrank.** Subscription revenue fell 3.0% year over year (\$52.7M vs \$54.4M) on a like-for-like basis — the 10-Q itself states prior periods were *not* restated, so this is a real decline, not an accounting reshuffle ([10-Q, quarter ended April 30, 2026](#)). Client count grew 7% over the same period, so revenue *per client* in the core product fell roughly 9%.
- 2. The “cheap at 6x cash earnings” case depends on ignoring stock compensation.** Rebuild the cash flow honestly — operating cash flow of \$23.9M in the quarter, minus \$7.55M of capital spending, minus roughly \$54M/year of stock handed to employees, plus interest costs that jumped from \$0.4M to \$2.3M per quarter after the debt-funded AccessOne acquisition — and true annual free cash flow to owners is roughly \$5–15M against a \$759M market value. That is not cheap.
- 3. The share count grows 5.3% per year** (62.0M diluted shares now vs 58.9M a year ago), so with roughly zero organic growth, revenue per share is falling.

The advertising business faces a September 2 verdict: about 100 FDA enforcement letters to drug advertisers in September 2025 froze marketing budgets, drug-company clients are “committing lower spend levels for the second half,” and the quarter being reported faces the toughest year-ago comparison of the year (+24.7% growth to beat). We believe the right move is to let that print resolve before paying anything.

What the market believes

The market has already punished this stock — down 62.5% from its 52-week high of \$32.76 — but has also already begun rewarding a recovery: the price is up 58% from the April low of \$7.77. The buy case as the market sees it:

- Management **maintained full-year revenue guidance** of \$510–520M despite the FDA-letter disruption.
- First-quarter operating cash flow was a **record** (\$23.9M) against a fiscal first quarter that was negative two years ago — the cash trajectory is genuinely, steeply improving.
- An activist investor, **Pale Fire Capital, owns 14.7% of the company** (\$103.5M position), which reads as smart-money endorsement.
- Stock compensation is falling (\$17.2M/quarter a year ago to \$13.6M now), so dilution is decelerating.
- On the popular adjusted-EBITDA framing, the stock trades near 6x — cheap for healthcare software.

This is a covered, followed stock. Our no-entry stance is about timing and price, not about the market having missed the story.

Why we might have edge

- **The unnarrated line.** The bull discussion is entirely about the advertising freeze (temporary, external, guided). Nobody is narrating that core subscription revenue fell while the client count rose — a per-client decline of ~9% that management has not explained. If it is churn or repricing rather than a deliberate mix shift toward smaller practices, the “stable software base plus temporary ad shock” story is wrong at its foundation.
- **The activist stopped buying four months ago — below \$8.55.** The 14.7% stake reads as endorsement at today’s price, but the filing record says otherwise: Pale Fire’s last purchases were March 31–April 2 at \$7.78–\$8.53, and no amendment has been filed since (a purchase of 1%+ would legally compel one — [filing history](#)). At \$12.28 you pay 47% more than the informed buyer’s last trade and 6% more than their blended average cost (~\$11.60). The endorsement expired at a much lower price.
- **The corrected accounting frame.** The gap between “6x EBITDA” and “\$5–15M of true free cash flow” is unusually wide here because the add-backs (stock comp ~\$54M/year) are unusually large relative to the company’s size. Investors anchoring on the adjusted multiple are valuing a number that mostly isn’t cash.
- **Sharper print math than consensus framing.** The quarter being reported on September 2 laps +24.7% advertising growth — the year’s hardest comparison — so a weak headline there is partly mechanical, and the court pre-committed the correct thresholds (below) rather than reacting to the optics.

Why it might be priced in

Stated honestly, much of our case is visible:

- The subscription erosion **is not new information** — it began mid-fiscal-2026, two quarters before the FDA letters, and the market has had four quarters to watch it. A 62% drawdown plausibly already reflects it.
- The FDA advertising shock is fully public, quantified in guidance, and management has already re-affirmed the full-year outlook once with the disruption in hand.
- The cash-flow improvement is real and steep, which bounds the downside case: this is a company crossing into cash generation, not one burning toward a financing.
- Stock-comp and dilution, our sizing complaints, are both decelerating.
- There is also a scenario where the FDA’s proposed broadcast-advertising rule *redirects* drug-marketing dollars toward point-of-care channels like Phreesia’s — the enforcement letters and the eventual rule can cut in opposite directions.
- Our own defense bench’s ruling: the rejection here is **timing-based, not a claim of mispricing**. Two defensible valuation frames diverge; we are choosing not to pay to find out which is right 13 sessions before the answer.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Subscription revenue fell on a like-for-like basis	Fetches the 10-Q; read the reclassification note directly	\$52.7M vs \$54.4M, -3.0%; filing states prior periods were not restated	YES
The decline means the core product is being repriced downward (prosecution’s fatal claim)	Defense cross-check: revenue per client across the whole company	Total revenue per client is +6% ; client growth is deliberately into smaller practices, so per-client math is mix-confounded. Bench error: prosecution’s “fatal” was overreach — downgraded to a sizing concern.	PARTLY — arithmetic yes, cause unproven
“6x EBITDA” is an add-back artifact	Rebuilt free cash flow line-by-line from the 10-Q (cash flow \$23.9M, capex \$7.55M, stock comp \$13.55M/qtr, interest \$2.30M/qtr, revolver \$84.2M drawn)	True free cash flow $\approx$ \$5–15M/year vs \$759M market value	YES, to the dollar
Dilution $\sim$ 5.3%/year	Audited share counts from filings (58.9M $\rightarrow$ 62.0M diluted)	Confirmed; noting stock comp is falling, so it decelerates	YES
Activist holds a large stake bought at pre-cut prices, still accumulating	Pulled both 13D amendments and the Form 4 record	Our own original brief was wrong — it missed two amendments. Pale Fire holds 14.7% at $\sim$ \$11.60 blended, <i>added after the guidance cut</i> at $\sim$ \$8, and has filed nothing since April 2 — meaning it has not materially bought June–August	YES — brief error corrected

Claim	How checked	Found	Confirmed?
Full-year guidance status	Q1 press release	\$510–520M maintained, but clients “committing lower spend levels for the second half”; the acquired AccessOne’s assumed \$37M is a second cut vector	YES
The September quarter faces the year’s hardest comparison	Prior-year Q2 press release	Advertising grew +24.7% in the year-ago quarter (was only “plausible” at prosecution; defense confirmed from the primary source)	YES
Prosecution’s re-entry trigger (“subscription back above \$54.4M”)	Defense re-derived the correct year-ago comp	Bench error: wrong comparison quarter — the right threshold is \$53.7M , corrected below	YES — corrected
Earnings date September 2, 2026	Company press release (BusinessWire, Aug 6)	Confirmed, after market close	YES
Current live quote	IBKR snapshot	Not obtained — permission blocked and market closed; \$12.28 is the Aug 14 close from the evidence pack	NO — refresh before any action

PROPOSED ENTRY BANDS

No entry at current prices. The courts direct no-buy; these are the reopen conditions, built from the benches’ own numbers.

- **Pre-print reopen (price):** below **\$8.55** — the top of Pale Fire’s last purchase range (Mar 31–Apr 2, \$7.78–\$8.53, versus the 52-week low of \$7.77). Below this, we are buying at or under the informed activist’s final add zone and the court reconvenes immediately, even before earnings.
- **Watch level (no action, note only):** below **\$11.60** — Pale Fire’s blended cost on the full 14.7% stake. Between \$8.55 and \$11.60 we are merely no longer paying a premium to the informed buyer; that alone does not reopen entry.
- **Post-print re-court — September 2, 2026, after close (date company-confirmed).** The court reconvenes on the print regardless of price, judged on four pre-committed gates:
 1. Full-year guidance \$510–520M **held or cut**;
 2. Second-half committed-advertising-spend language — reaffirmed, softened, or quantified;
 3. Subscription revenue vs **\$53.7M** (the corrected year-over-year breakeven), *with* management commentary on the per-client decline (deliberate small-practice mix vs churn/repricing);
 4. Advertising revenue vs roughly **\$34M** (the level consistent with maintained guidance against the +24.7% comparison).
- **Sizing:** none proposed — sizing is set only if the re-court converts to a buy. Current book: no position, no resting orders.
- **Exits/trims:** not applicable (no position).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 11.6 (deck-provisional: Pale Fire's blended cost on the 14.7% stake; watch-only, no longer paying a premium to the informed bu)
- filing watch: 8-K,10-Q until 2027-02-11 (deck-provisional: Sept-2 Q2 print re-court: guide held/cut, 2H committed-spend language, subscription vs \$53.7M with mix)
- dated pack PHR|2026-09-02: PHR: Q2 FY2027 earnings after market close, company-confirmed via press release (date confirmed=True)

What remains unverified

- **Cause of the per-client subscription decline** — deliberate migration to smaller practices vs churn/repricing. Management has never quantified it; this is the single most decisive unknown and gate #3 at the print.
- **Second-half advertising commitments** — the actual committed-spend trajectory behind “lower spend levels”; only the print resolves it.
- **AccessOne's assumed \$37M contribution** — whether the acquired business delivers, or becomes a second guidance-cut vector.
- **Drug-brand concentration inside the advertising segment** — no disclosure exists; the standard supply-chain method doesn't apply to a software business, so this stays open.
- **Pale Fire's funding** — its filing flags possible margin-loan financing; a levered holder behaves differently in a drawdown. Unquantified.
- **Direction of the FDA's proposed advertising rule** — whether it ultimately redirects drug-marketing dollars *toward* point-of-care channels (would help Phreesia) or suppresses the category. The enforcement letters and the rule itself can point opposite ways; nothing yet tests which wins.
- **Live quote** — \$12.28 is the August 14 close; no live IBKR snapshot was obtained this session. Refresh before acting on any band.

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{"price_gates": [{"level": 8.55, "direction": "below", "basis": "top of Pale Fire's final purchase range (Mar 31-Apr 2); at/under the informed activist's last add zone, pre-print reopen"}, {"level": 11.6, "direction": "below", "basis": "Pale Fire's blended cost on the 14.7% stake; watch-only, no longer paying a premium to the informed buyer"}], "event_gates": [{"forms": ["8-K", "10-Q"], "why": "Sept-2 Q2 print re-court: guide held/cut, 2H committed-spend language, subscription vs $53.7M with mix commentary, advertising vs ~$34M comp"}, {"forms": ["SC 13D/A", "4"], "why": "any Pale Fire amendment or Form 4 means the activist resumed buying or is selling; either flips a court premise"}], "catalyst_dates": [{"date": "2026-09-02", "what": "Q2 FY2027 earnings after market close, company-confirmed via press release", "confirmed": true}], "immediate_entry": null}
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